Chart patterns that see price move in the breakout direction by no more than 5% are what I call 5% failures. Although this rectangle ultimately moves lower after peak A, it does so only after closing above the top of the rectangle. If you sold this rectangle short after the downward breakout expecting a price decline, you might have been stopped out for a loss. Certainly, your worry would have climbed along with price.

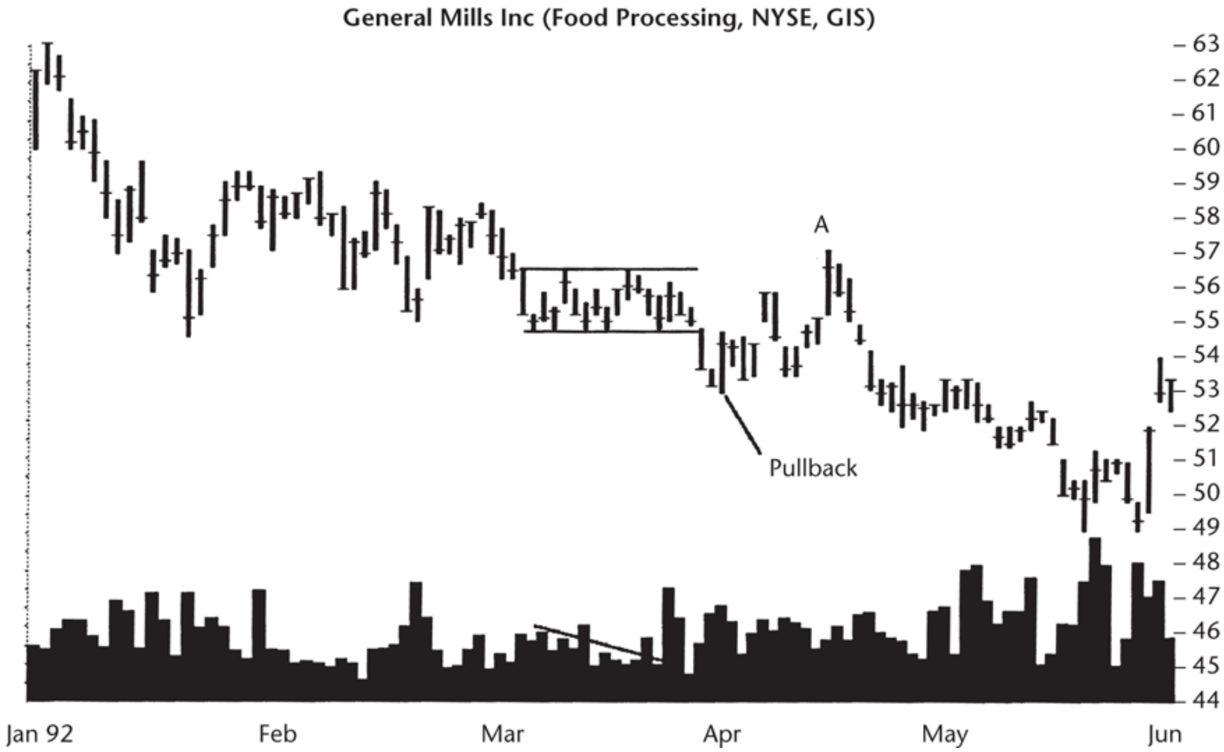

Figure 51.3 This is a rectangle bottom failure in a downward price trend. Price breaks out downward and drops less than 5% before closing above the formation top.

If price moves in the breakout direction no more than 10% (after the breakout) and reverses to close outside the other rectangle boundary (in this case, that means a close above the pattern's top), then it busts the breakout. Busts happen to almost half of rectangles (see Table 51.9).

What stops price from declining after a rectangle breakout is the same as what stops it for other chart patterns. When buying demand exceeds selling pressure, price rises. If this imbalance is strong enough, a trend change occurs (price rises more than 20% after a downward breakout).